Investigation: IRB - BRASIL RESSEGUROS S.A. (CVM code 24180), fiscal year 2019, as it was on 2024-12-31

Statistical signal based on public financial statements. Not an accusation, not investment advice.

Company

Sector: Seguradoras e Corretoras (origin: FCA); group: financial.
Trading codes (2023 FCA, version 2, filed on 2023-06-07): IRBR3 (Ações Ordinárias, Bolsa, since 2017-07-31).

Document used

2019 DFP, version 5, filed on 2021-02-18; origin: open data; type: consolidated; original scale: MIL.
Versions known on the date: 1 (2020-02-18); 2 (2020-06-30); 3 (2020-06-30); 4 (2020-07-07); 5 (2021-02-18).
Document at the CVM: http://www.rad.cvm.gov.br/ENETCONSULTA/frmDownloadDocumento.aspx?CodigoInstituicao=1&NumeroSequencialDocumento=100271

Possible manipulation (engine v1, study 1)

Non-recurring weight (financial companies)
Value: 0.402 (index)
Alert by the study 1 rule: no
Rule: non-recurring weight in the year's top decile among financial companies (≥ 90th percentile of computable values on the date: 2.208)
Percentile in sector and year: fewer than 10 companies with a computable value
Percentile in group and year: 45 (n = 21)
The company's own history: fewer than 5 previous fiscal years with a value
Confidence in the data: medium

Financial risk (context only)

Altman Z" (financial risk, context only)
Value: does not apply to financial companies
Percentile in sector and year: —
The company's own history: fewer than 5 previous fiscal years with a value

Financial quality (context only)

Piotroski F (financial quality, context only)
Value: does not apply to financial companies

Changes

Highlighted in the following year's comparative: none.
Highlighted: differences in totals and key lines (total assets, current liabilities, non-current liabilities, equity, net revenue, net income and operating cash flow) above 1% of total assets of the version used. The other differences (reclassifications between lines and smaller differences) stay in the full list.
Full list: 8 accounts above the R$1,000 tolerance (group a, totals and key lines: 0; group b, reclassifications: 8), in the annex at the end.

What was known on the date

- DFP 2016, v1: 2017-07-31
- DFP 2017, v1: 2018-02-08
- FCA 2019, v1: 2019-01-29
- DFP 2018, v1: 2019-02-07

- DFP 2018, v2: 2019-03-07
- DFP 2018, v3: 2019-03-07
- DFP 2018, v4: 2019-03-08
- DFP 2019, v1: 2020-02-18
- DFP 2019, v2: 2020-06-30
- DFP 2019, v3: 2020-06-30
- DFP 2019, v4: 2020-07-07
- DFP 2019, v5: 2021-02-18
- DFP 2020, v1: 2021-02-18

DFP and FCA filed with the CVM by the reference date; ITR comes in a later phase.
Material facts and market notices filed by the date (IPE open data, since 2010): 58 material fact documents and 273 market notice documents.
Material facts filed in the 24 months before the date (from 2023-01-01 to 2024-12-31):
- 2024-12-12: Eleição de Diretor Vice-Presidente Financeiro
- 2024-04-08: Resgate antecipado da totalidade das debêntures da 3ª (terceira) emissão
- 2024-04-01: Alteração do Diretor Vice-Presidente Financeiro
- 2023-08-15: Eleição CFO
- 2023-06-02: Acordos DOJ-SEC (version 2)
- 2023-05-11: Acordo - SEC
- 2023-04-24: Acordo com DOJ
- 2023-03-09: Afastamento do CFO
- 2023-01-19: subject omitted (possible person's name); see the document at the CVM

Older material facts, the market notices and the link to each document are in the JSON and on screen.
Material facts and market notices filed with the CVM by the date, from the IPE open data (since 2010): filing date, category, subject (as filed, in Portuguese) and link. The content of the documents is not downloaded, read or summarized, and the list generates no alert, score or ranking. The counts are of documents: versions, resubmissions and English versions count separately; in the list, versions of the same document and documents with the same date, category and subject appear on a single line, with a link to each one.

Data quality

10 applicable checks; 0 failed.

Auditor's report and auditor (factual section; no alert)

Auditor's report: Sem Ressalva (unqualified).
no opinion excerpt was found in the text
Auditor in the 2021 FCA: PricewaterhouseCoopers Auditores Independentes.
Auditor in the 2022 FCA: KPMG Auditores Independetes Ltda., PricewaterhouseCoopers Auditores Independentes.
Auditor in the 2023 FCA: KPMG Auditores Independetes Ltda., PricewaterhouseCoopers Auditores Independentes.
Auditor changes (one line per change, canonical name by the firm's CVM code):
- 2022: entry of KPMG Auditores Independetes Ltda., with no other firm leaving.

Auditor rotation: under CVM Resolution No. 23/2021, art. 31, the same independent auditor may not serve the same client for more than five consecutive fiscal years, with a minimum interval of three fiscal years before being hired again; under art. 31-A, the term is up to ten consecutive fiscal years when the company has a statutory audit committee in permanent operation and the auditor is a firm. The Resolution has been in force since 2021-04-01 (art. 41); before that, the equivalent rule was in arts. 31 and 31-A of CVM Instruction No. 308/1999, revoked by the Resolution (art. 40, I). A change of auditor is a fact, not an alert.

Document excerpts (copied; no alert)

Excerpts copied from the documents, with the page, and the Reference Form table. It is not a signal family: it generates no alert, score or ranking. Absence of mention does not prove absence.

How the reader was tested: 22 held-out cases, a single measurement with the frozen reader (dd688da): precision 0.973, coverage 0.915, literal check on 146 of 146 excerpts, no natural-person name (docs/leitor_medida_f1_2.json).

Explanatory notes · Related parties
Note: 21 Partes relacionadas (pages 70 to 71)
- [other related parties] “As principais transações realizadas pela Resseguradora com partes relacionadas (acionistas) em condições normais de mercado estão apresentadas a seguir:” (p. 70, original excerpt in Portuguese)
- [other related parties] “Referem-se a operações de resseguros e retrocessões realizadas com empresas seguradoras que são acionistas desta Resseguradora, cujos montantes estão incluídos nos grupos "créditos das operações com resseguros e retrocessões" e "débitos das operações com resseguros e retrocessões" no balanço patrimonial e nas respectivas contas registradas nas demonstrações do resultado.” (p. 70, original excerpt in Portuguese)
- [key management personnel] “21.1 Remuneração do pessoal-chave da Administração” (p. 70, original excerpt in Portuguese)
- [key management personnel] “A remuneração total dos diretores e dos demais conselhos e comitês da Companhia, em 31 de dezembro de 2019 e 2018,” (p. 70, original excerpt in Portuguese)
- [key management personnel] “Programa de Incentivo de longo prazo de Ações Restritas (“ Programa”) destinado aos seus Diretores Estatutários em complemento ao pacote de remuneração variável ainda estar vigente, não existia mais expectativa de pagamento aos antigos executivos que renunciaram e/ou foram desligados da Companhia. Desta forma, rev erteu-se em 31 de dezembro de 2019 os saldos referentes ao Programa.” (p. 70, original excerpt in Portuguese)

Fields of item 18 of CPC 05 (R1)
- [amount of the transactions] “Referem-se a operações de resseguros e retrocessões realizadas com empresas seguradoras que são acionistas desta Resseguradora, cujos montantes estão incluídos nos grupos "créditos das operações com resseguros e retrocessões" e "débitos das operações com resseguros e retrocessões" no balanço patrimonial e nas respectivas contas registradas nas demonstrações do resultado.” (p. 70, original excerpt in Portuguese)
- [amount of the transactions; balances] “Programa de Incentivo de longo prazo de Ações Restritas (“ Programa”) destinado aos seus Diretores Estatutários em complemento ao pacote de remuneração variável ainda estar vigente, não existia mais expectativa de pagamento aos antigos executivos que renunciaram e/ou foram desligados da Companhia. Desta forma, rev erteu-se em 31 de dezembro de 2019 os saldos referentes ao Programa.” (p. 70, original excerpt in Portuguese)

Market terms
- “As principais transações realizadas pela Resseguradora com partes relacionadas (acionistas) em condições normais de mercado estão apresentadas a seguir:” (p. 70, original excerpt in Portuguese)

The sentence about market terms is recorded as a fact, without proof (CPC 05 (R1), item 23).

Explanatory notes · Reverse factoring and forfaiting
The reader found no mention of reverse factoring (risco sacado), forfaiting or supplier agreements in the notes of this DFP. Absence of mention does not prove absence of the operation.

Auditor's report
Type of opinion: unqualified
- Excerpt omitted; see the auditor's report in the document
- [other matters] “Outros assuntos Demonstrações do Valor Adicionado As demonstrações individual e consolidada do valor adicionado (DVA) referentes ao exercício findo em 31 de dezembro de 2019, elaboradas sob a responsabilidade da administração da Resseguradora e apresentadas como informação suplementar para fins de IFRS, foram submetidas a procedimentos de auditoria executados em conjunto com a auditoria das demonstrações contábeis da Resseguradora. Para a formação de nossa opinião, avaliamos se essas demonstrações estão conciliadas com as demonstrações contábeis e registros contábeis, conforme aplicável, e se a sua forma e conteúdo estão de acordo com os critérios definidos no Pronunciamento Técnico CPC 09 - "Demonstração do

Valor Adicionado". Em nossa opinião, essas demonstrações do valor adicionado foram adequadamente elaboradas, em todos os aspectos relevantes, segundo os critérios definidos nesse Pronunciamento Técnico e são consistentes em relação às demonstrações contábeis individuais e consolidadas tomadas em conjunto." (cut at the end of a sentence, original excerpt in Portuguese)

Reference Form
Form of 2020, version 15, filed on 2021-05-11.
It is the only version available in the open data; earlier versions are not there.
- Aliança do Brasil Seguros S.A. · Coligada. · text omitted (natural-person name) · 302258502.59 · -
- Aliança do Brasil Seguros S.A. · Coligada · text omitted (natural-person name) · 443871472.12 · -

Limits of this section:
- In real documents, about 22% of the excerpts come out omitted by the name detector, including names of companies outside the registry.
- In tables, a header line (years, column titles) may still come out as an excerpt: in the reader's measurement, 1 of 19 header texts of the held-out cases came out as excerpts.

How the engine was tested

In study 1, engine v1 detected 7 of 13 detectable cases, with 108.3 false alarms per detected case over the whole period and an alert rate of 49.9% among evaluated non-financial company-years (docs/summary.md).

Limits

- No alert is not a clean bill of health. In Dechow, Sloan and Sweeney (1995), the most powerful accruals model rejected 'no manipulation' for only 28.1% of 32 companies sanctioned by the SEC (Table 7, p. 32).
- In study 1, 49.9% of evaluated non-financial company-years (48.3% including financial companies) were in alert, and the number of detections did not beat chance in a descriptive test done after the result: 7 detections in 13 detectable cases, against 7.37 expected by chance without assuming independent years (8.56 assuming independent years).
- Risk models use numbers that may be manipulated (Pereira and Martins 2015, p. 29). That is why the three families are not added up.

Limitations

- Context indicators (Altman Z'' and Piotroski F) were not validated in Brazil by this project and do not trigger alerts

Evidence in the JSON: 2 DFP lines, each with document, version, filing date, account and location.

Engine

motor v1 (estudo 1), branch estudo-1-final, commit 8c9a823; chiocca.v2 (produto, fases B a F1); leitor-f1-2 (commit dd688da). The generation date is in the demo manifest (demo/manifesto.json).

Today's information (outside the reference date)

Registry status: ATIVO. Source: CVM registry of listed companies (cad_cia_aberta.csv), in the version downloaded for the project, not on the reference date.
Name in today's registry: IRB - BRASIL RESSEGUROS S.A.

Annex: full list of differences in the following year's comparative (R$ million)

(b) DRE 3.08.01.01 Despesas financeiras: 0.0 in the version used, 888.5 in the comparative (difference of 888.5)

(b) BPP 2.03.06.01 Ajustes de avaliação patrimonial: 0.0 in the version used, −191.1 in the comparative (difference of −191.1)
(b) DFC (direct method) 6.01.06 Pagamentos de despesas e obrigações: −378.2 in the version used, −536.9 in the comparative (difference of −158.7)
(b) DFC (direct method) 6.01.13 Impostos e contribuições pagos: −395.9 in the version used, −237.3 in the comparative (difference of 158.7)
(b) DRE 3.08.01 Receitas Financeiras: 737.3 in the version used, 888.5 in the comparative (difference of 151.1)
(b) DRE 3.08.02 Despesas Financeiras: −269.6 in the version used, −420.7 in the comparative (difference of −151.1)
(b) BPA 1.02.01.11.01 Ativos Não Correntes a Venda: 29.0 in the version used, 0.0 in the comparative (difference of −29.0)
(b) BPA 1.02.01.11.03 Ativos de Retrocessão: 0.0 in the version used, 29.0 in the comparative (difference of 29.0)